

Best Practices for Managing External Identities in Microsoft 365

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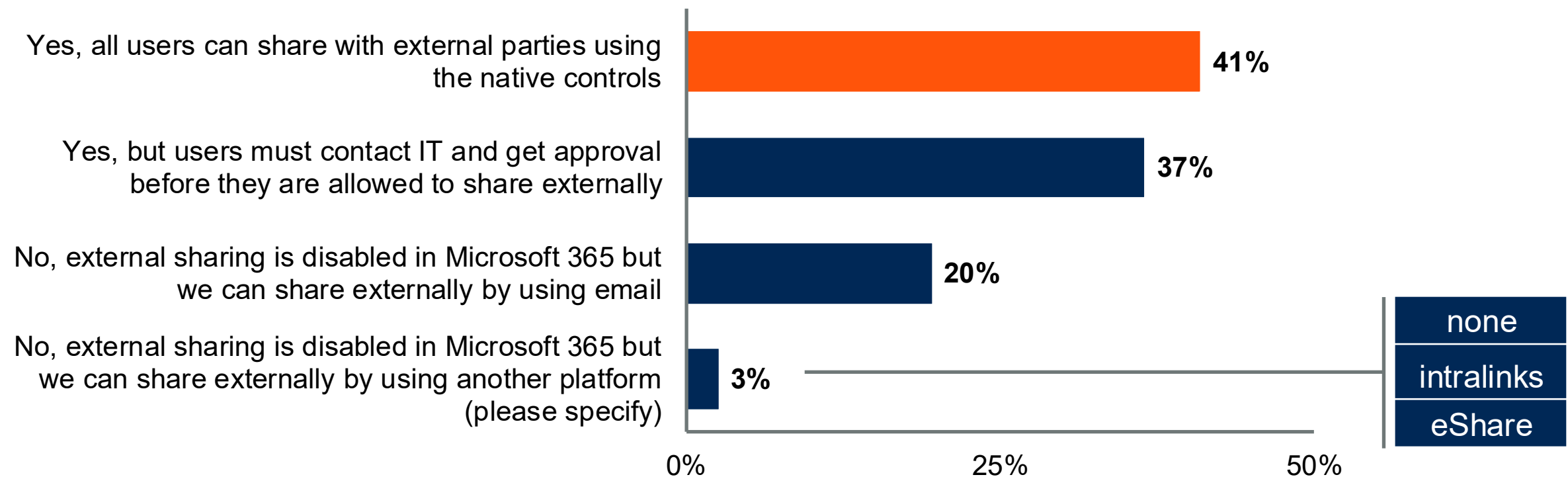
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How many of you have taken some action to restrict external sharing in Microsoft 365?

Over 60% of Organizations Restrict External Sharing in M365

External sharing in Microsoft 365



n = 112; All respondents; excluding “not sure”
Q11: Does your organization allow external sharing in Microsoft 365?
Source: 2023 Gartner Microsoft 365 Survey; Gartner’s Research Circle members and external participants

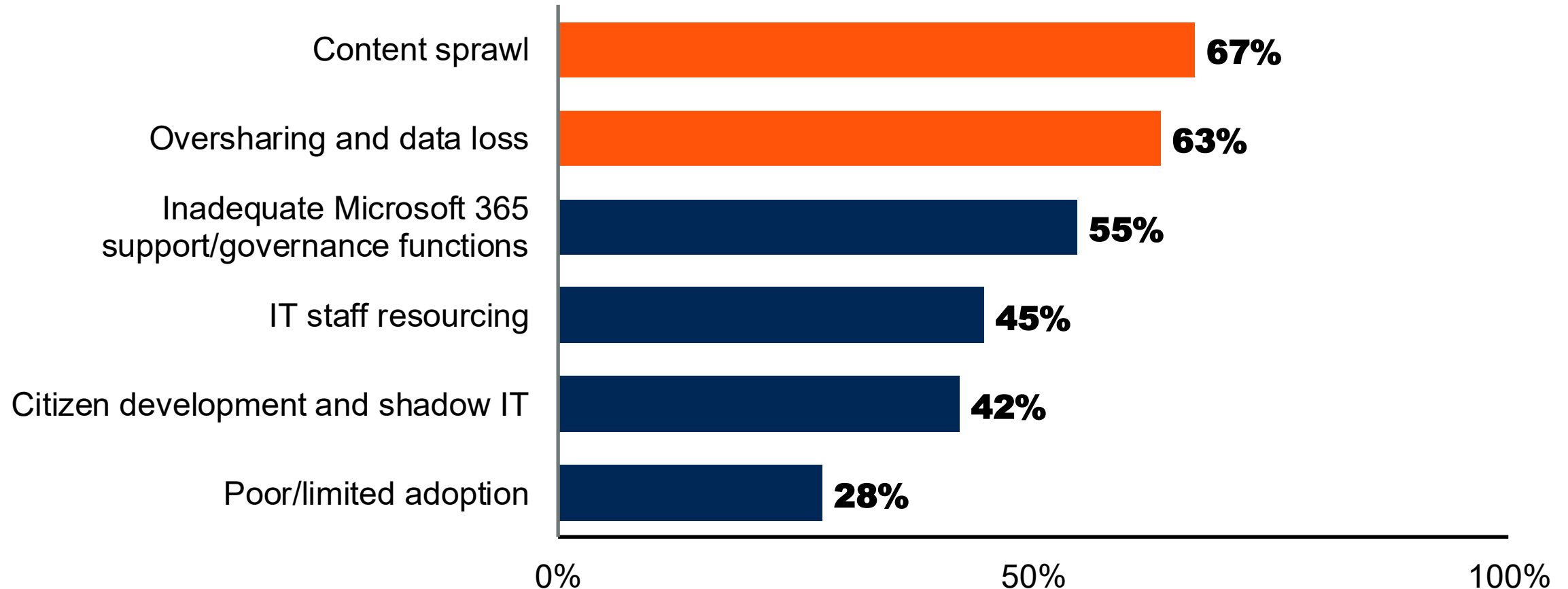
Problem Space

External collaboration in platforms like Microsoft 365 is becoming an increasingly critical requirement for most organizations.

However, managing external identities is not easy and can lead to **access** and **data loss risks...**



Content Sprawl, Oversharing and Data Loss Are the Biggest Challenges for M365 Deployments



n = 194; IT decision makers answering

Q08: What do you think are the biggest challenges/risks to your organization's Microsoft 365 deployment?

Source: 2025 Gartner Microsoft 365 and Copilot Survey



Oversharing **sensitive data internally is bad, but if this data leaves the company perimeter, it can be **catastrophic.****

Issues Created by Uncontrolled External Sharing



**Guest
sprawl**



**Costs and
complexity to
manage external
identities**



**Security
vulnerabilities**



**Regulatory/
compliance
issues**



To mitigate these issues many organizations, **block external sharing in M365 but this also creates risk ...**

Issues Created by Disabling External Sharing in Microsoft 365



**Poor user
experience and
collaboration
friction**



**Increased
cost/complexity
for dedicated
platforms**



**Data duplication
and sprawl**

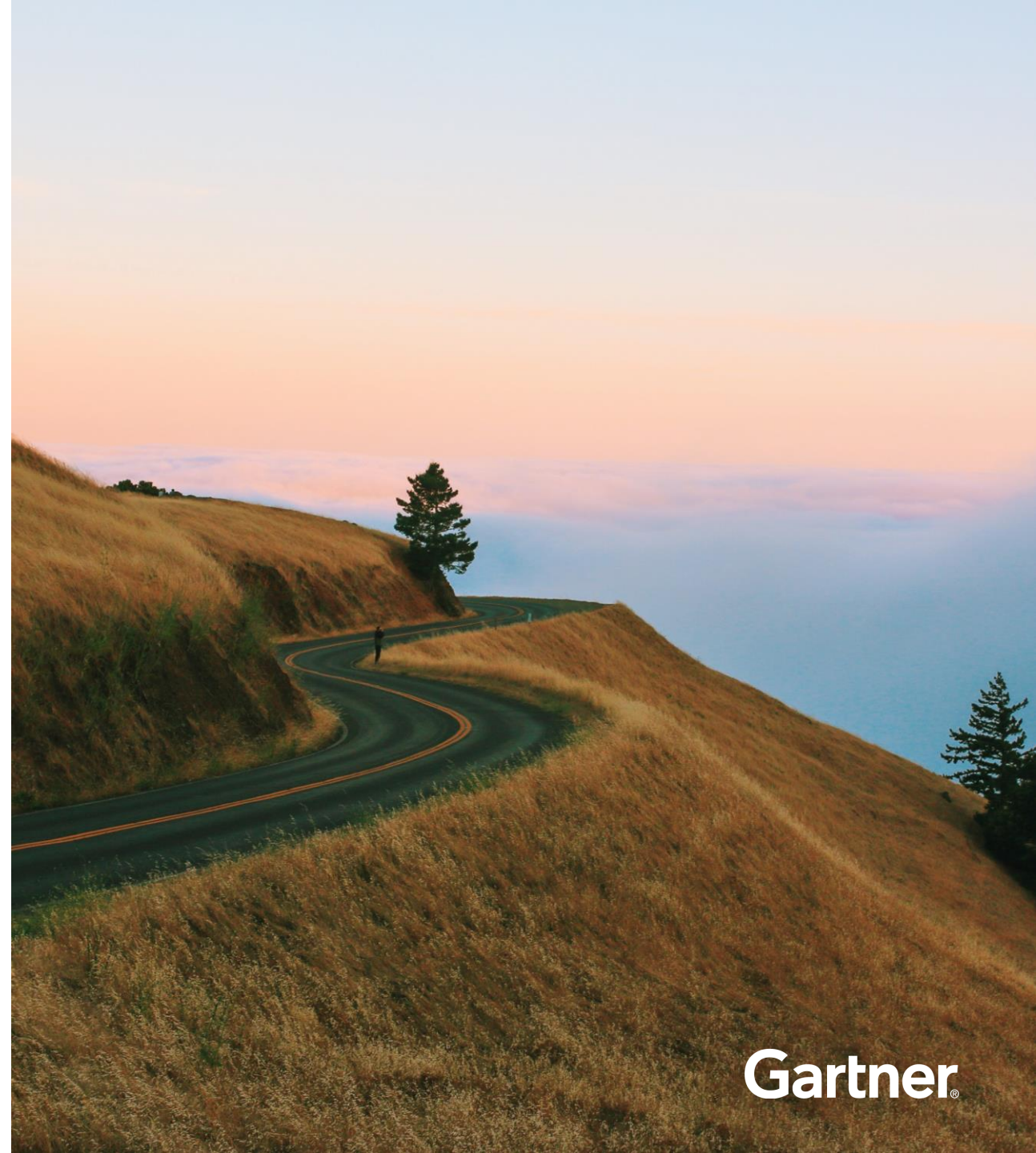


**Legacy ways
of sharing/
shadow IT**

A Middle Ground Is Required

Gartner hears of two main scenarios that increase risk:

- The tenant is left largely in the default configuration, with anonymous sharing enabled, little user education and few guardrails to protect sensitive data.
- IT security blocks all external sharing without considering business requirements.





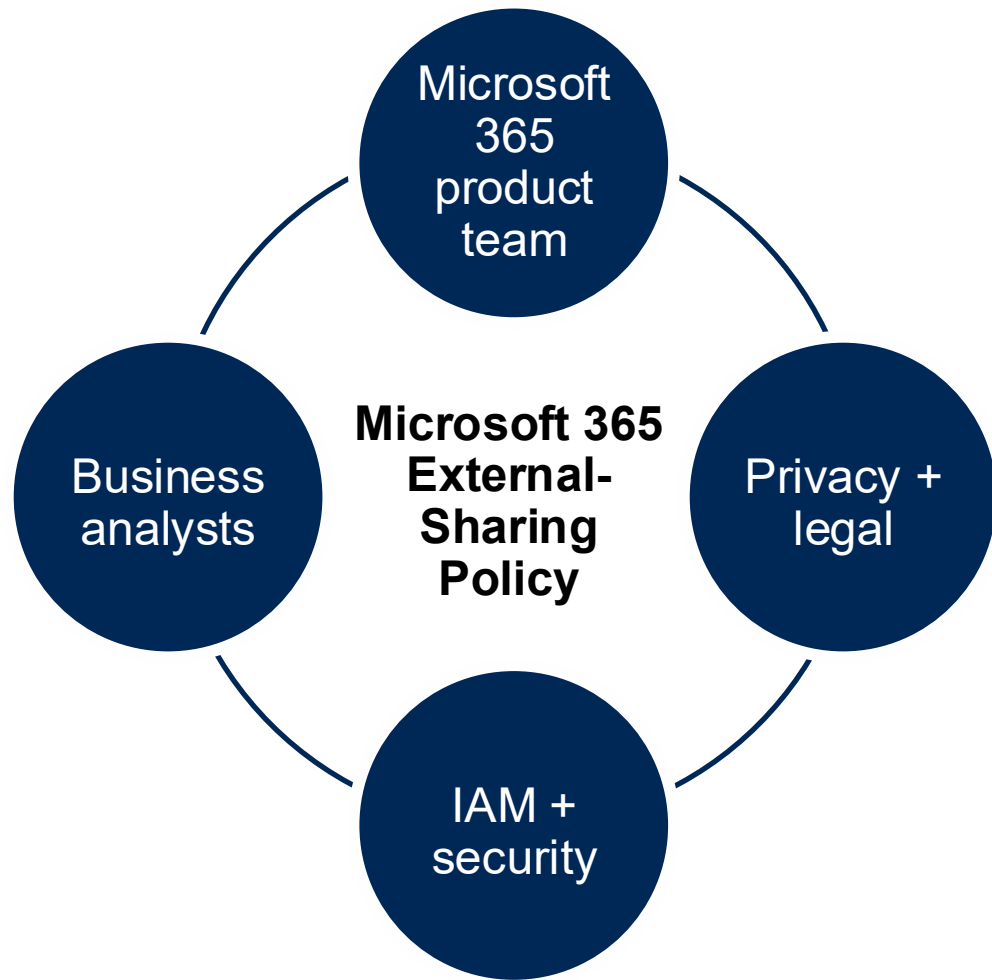
Gartner clients often ask: “How can we **empower our users to collaborate with external partners in Microsoft 365, while **reducing risk** and **maintaining control**?”**

4 Steps to Manage External Sharing and Identities in Microsoft 365



Establish External Sharing Use Cases Personas and Policies

Understand External Sharing Requirements



1. Who needs to share externally?
2. Whom do they need to share with?
3. What do they need to share?
4. Who needs to share with us?
5. What policies do we need to manage this?

Common External Sharing Scenarios



Source: Gartner

Build Personas for External Sharing



	Frontline Worker	Knowledge Worker (Internally Focused)	Knowledge Worker (Externally Focused)	Executive
Who:	Retail floor, field reps, cleaners, catering staff, grounds people.	Internal-facing information workers: IT support, accounts, staff development.	External-facing information workers: sales, marketing, recruitment.	C-level leaders (e.g., CIO, CEO).
Microsoft 365 Usage:	Very light; uses web apps for occasional email, calendar and office suite access.	Uses desktop and web apps daily as part of job role.	Uses desktop and web apps daily as part of job role.	Uses desktop and web apps daily as part of job role.
External Sharing:	Very limited or none.	Some requirements, depending on job role. Unlikely to be regularly sharing with external parties.	Frequently collaborates and shares files with external parties in day-to-day role.	Frequently works with external stakeholders and board members.

Source: Gartner

Evaluate External Sharing Options in M365 and Consider alternatives

External Sharing Options Available in Microsoft 365

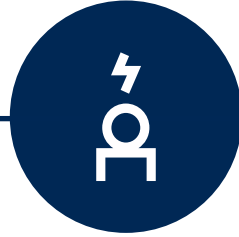
Guest account created in Entra ID:  Yes  No  Configurable

External Sharing Method	Description	Default State	Guest Account Created
Email external domains	Send an email with an attachment to an external user	Enabled	
Unauthenticated sharing (<i>Anyone</i> links)	Create an unauthenticated sharable link to a file or folder in SharePoint and OneDrive.	Enabled	
Share files and folders with named external users (one-time passcode)	Share a file or folder in SharePoint and OneDrive with specific external users	Enabled	
Share a SharePoint site with named external users	Share an entire SharePoint site with named external users via their email address.	Enabled	
Invite an external user to a group/team (Entra ID B2B)	Invite an external user to collaborate in a Microsoft 365 group or team as a guest.	Enabled	
Teams external access	Allows users to find, call and chat with external users in Microsoft Teams.	Enabled	
File requests in SharePoint and OneDrive	Send a link which anyone can use to upload files to a location in OneDrive/SharePoint	Enabled	
Teams shared channels (Entra ID Direct Connect)	Setup a mutual trust with other Entra ID organizations.	Disabled	

Six External Sharing Challenges in Microsoft 365



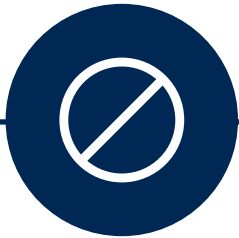
Default settings expose organizations to risk



External sharing is difficult to manage and control



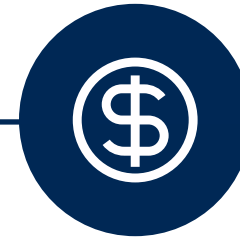
Not all organizations want (or can have) external identities in their tenant



M365 sharing links are sometimes blocked



Branding options are almost nonexistent



Guest accounts are not always free

Guest Management Gaps in the Native Controls

M365 E3 (Entra ID P1) provides no native way to conduct access reviews or implement timebound access.

M365 E5 (Entra ID P2) provides basic access reviews and timebound access but there are still gaps:

- No centralized reporting on guest permissions or activity
- Limited automation for on-boarding/offboarding
- Fragmented controls between Entra, SharePoint and Teams

Evaluate Native vs Third-Party External Sharing Options

Go it Alone M365 (E5)	M365 Management Tool	Dedicated External Sharing Solution	Document Management Platform
Microsoft 365 (E5)	AvePoint, Syskit, CoreView, Varonis, Rencore, SharePoint Advanced Management ^a	eShare, Exostar, AvePoint (Confide), Virtru (Secure Share)	Google Workspace, Box, Dropbox, Hyland
 No additional software costs; data remains in M365 tenant	 Improved visibility and governance controls; data remains in M365	 Improved visibility and governance; Extends M365 external sharing capabilities; data remains in M365	 Creates air-gap: M365 for internal sharing, separate CSP for external sharing
 Unlikely to meet all external sharing scenarios; possible oversharing risks	 Additional costs; limitations of M365 external sharing still apply	 Additional costs; Limited market; vendor lock-in	 Most expensive option; data duplication; user confusion

^a SharePoint Advanced Management (SAM) is a SharePoint governance add-on product developed by Microsoft. It is available as a paid add on to Microsoft 365

Implement Controls to Manage External Identities and Protect Sensitive Data

Limit External Sharing in SharePoint/OneDrive to Authenticated Guest Users Only

Content can be shared with:

 SharePoint  OneDrive

Most permissive	Anyone
	Users can share files and folders using links that don't require sign-in.
	New and existing guests
	Guests must sign in or provide a verification code.
	Existing guests
	Only guests already in your organization's directory.
Least permissive	Only people in your organization
	No external sharing allowed.

You can further restrict sharing for each individual site and OneDrive. [Learn how](#)

More external sharing settings ▾

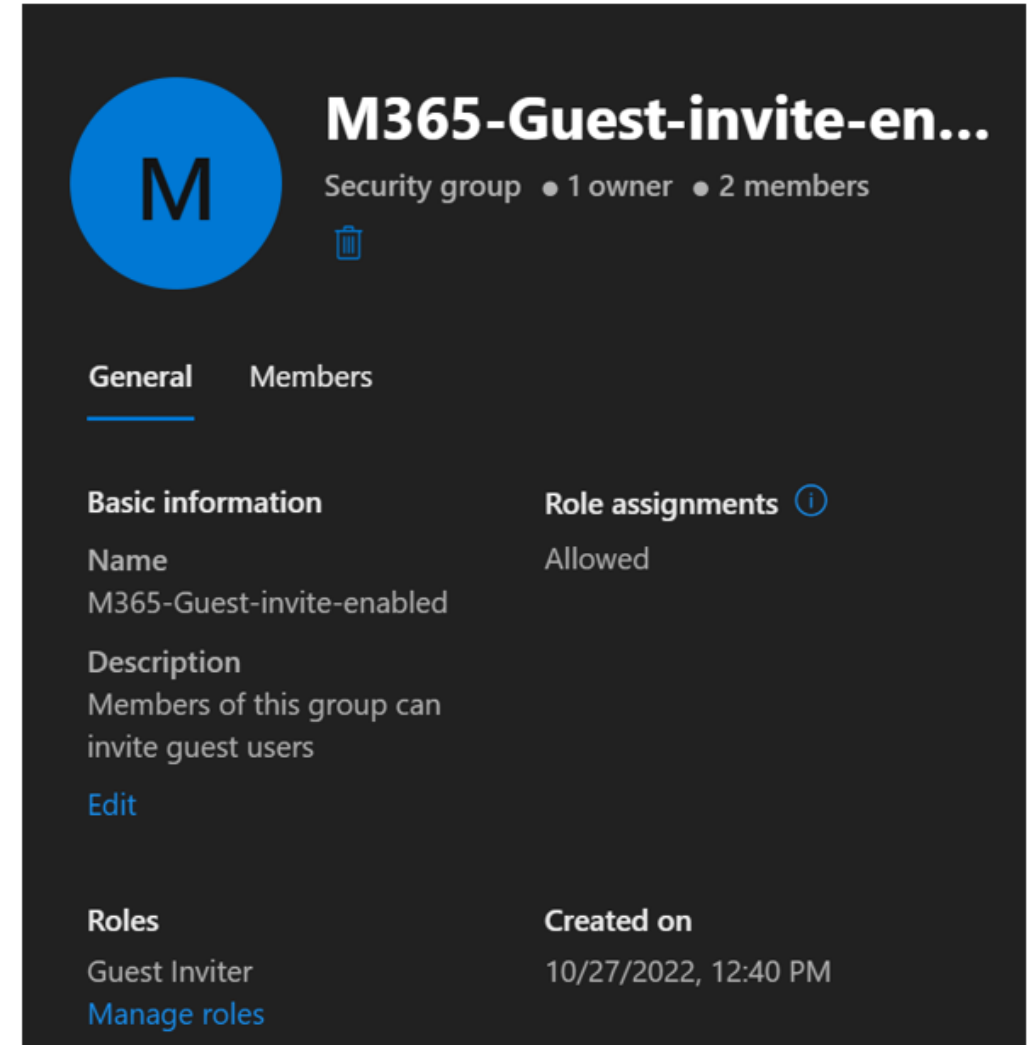
☐ Limit external sharing by domain

☒ Allow only users in specific security groups to share externally

1 security group: M365-Guest-invite-enabled

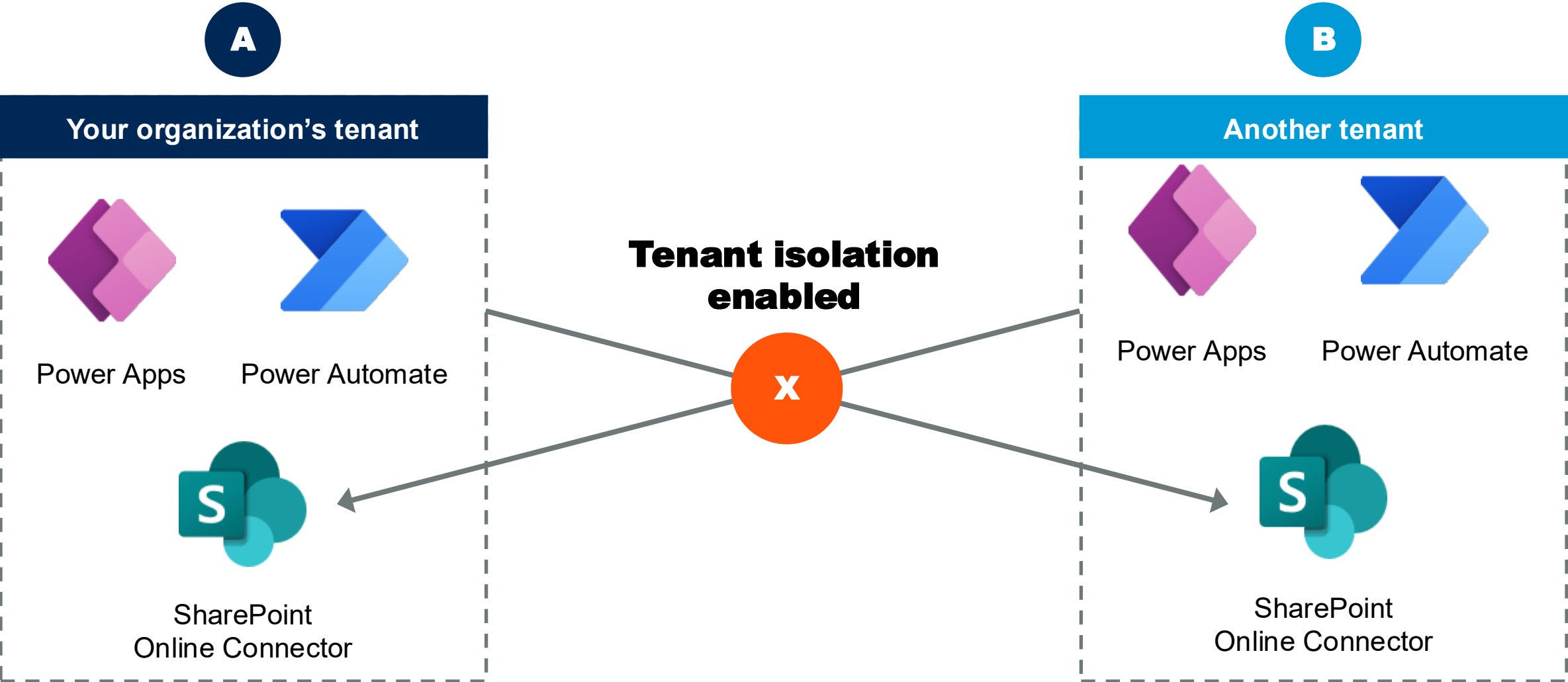
Limit Who Can Invite Guest Users

- Using your personas from Step 1, restrict who can invite guests to your tenant to a specific security group(s) — Using the Guest Inviter Role.
- If you restrict to IT only you are likely to create a significant bottleneck ...

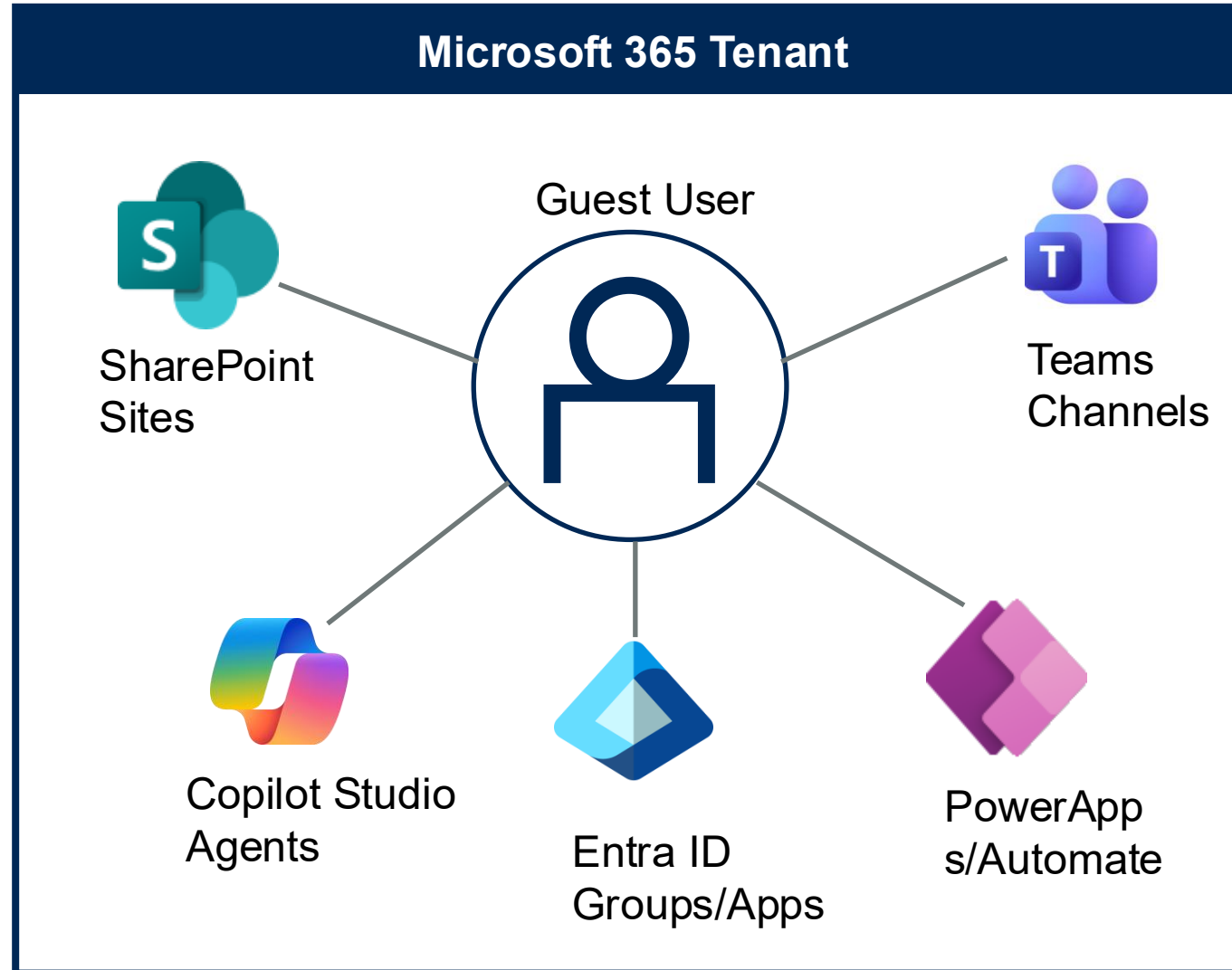


The screenshot displays the configuration for a security group named "M365-Guest-invite-en...". At the top, there is a blue circular icon with the letter "M". To the right of the icon, the group name is shown, followed by "Security group" and "1 owner • 2 members". Below this, there is a trash can icon. The interface has two tabs: "General" (selected) and "Members". Under the "General" tab, there are two sections: "Basic information" and "Role assignments". The "Basic information" section includes fields for "Name" (M365-Guest-invite-enabled) and "Description" (Members of this group can invite guest users), with an "Edit" link below. The "Role assignments" section shows the role "Allowed" with an information icon. At the bottom, there are two sections: "Roles" (showing "Guest Inviter" with a "Manage roles" link) and "Created on" (showing "10/27/2022, 12:40 PM").

Enforce Power Platform Tenant Isolation



Understand What a Guest Can Access





Managing external identities is not just about provisioning guest accounts, it's about managing the end-end life cycle and the data they have access to.

Identify and Protect Risky Workspaces and High-Risk Users First

Risky workspaces:

- 1 Groups, teams or sites with large numbers of guest users and/or unique permissions
- 2 Groups, teams or sites that contain highly sensitive information
- 3 Ownerless groups, teams and site/those with no recent activity

High risk users/functions

- 1 Guests collaborating with executive team, HR, finance, etc.
- 2 Guest identities with lots of permissions (content and apps)
- 3 Stale or in-active guest accounts



Guest permissions to M365 and Entra resources must follow a process of **least privilege, time bound access.**

Implement Timebound Access and Conduct Regular Reviews

Entitlement Package



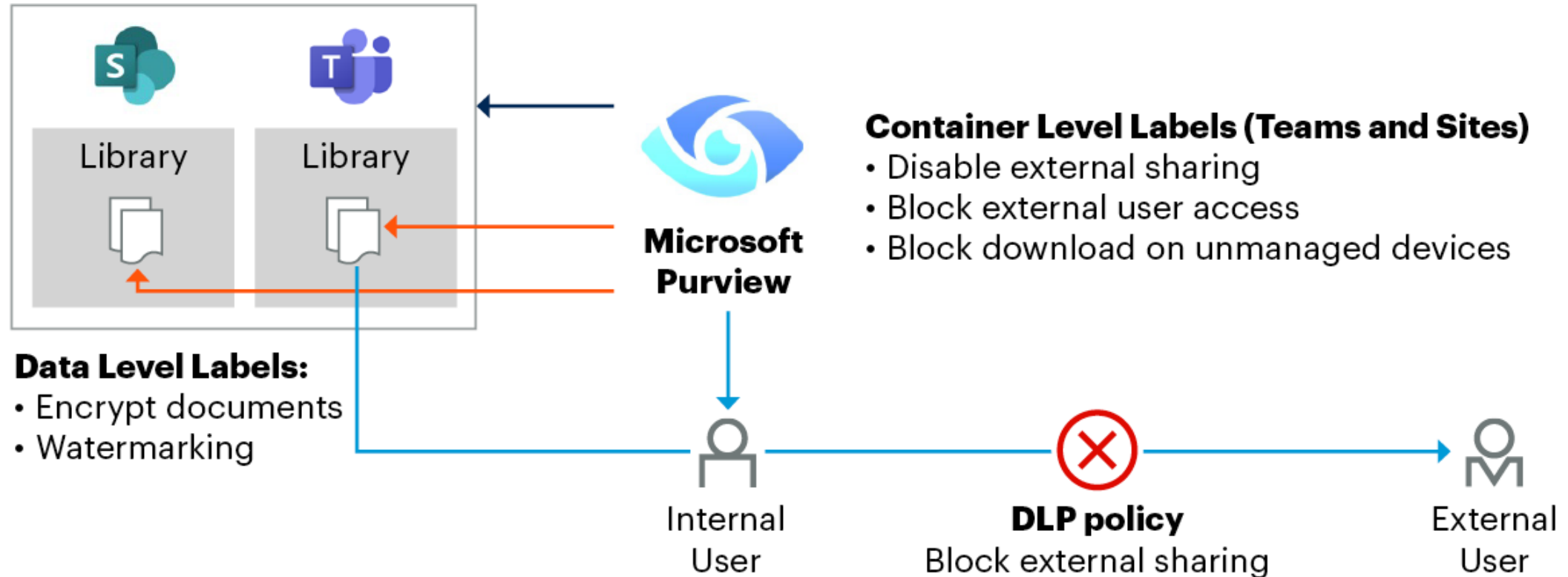
Access Review

All Teams and SharePoint sites subject to 90-day review for Guest users — if no action is taken by owner — guests are removed

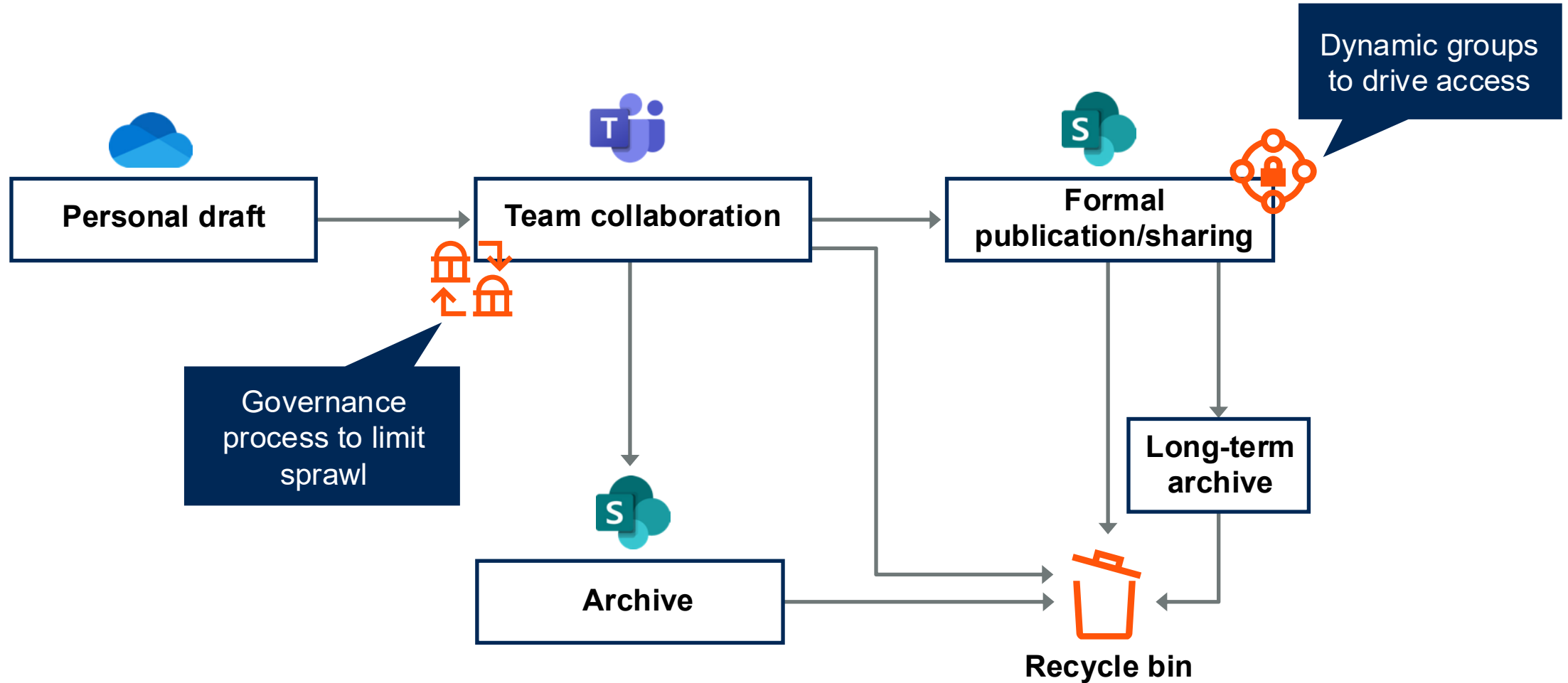


Classify and block External Access to Sensitive Sites and Content

— Container Labels — Data Labels — User Actions



Improve Information Governance and Permission Model



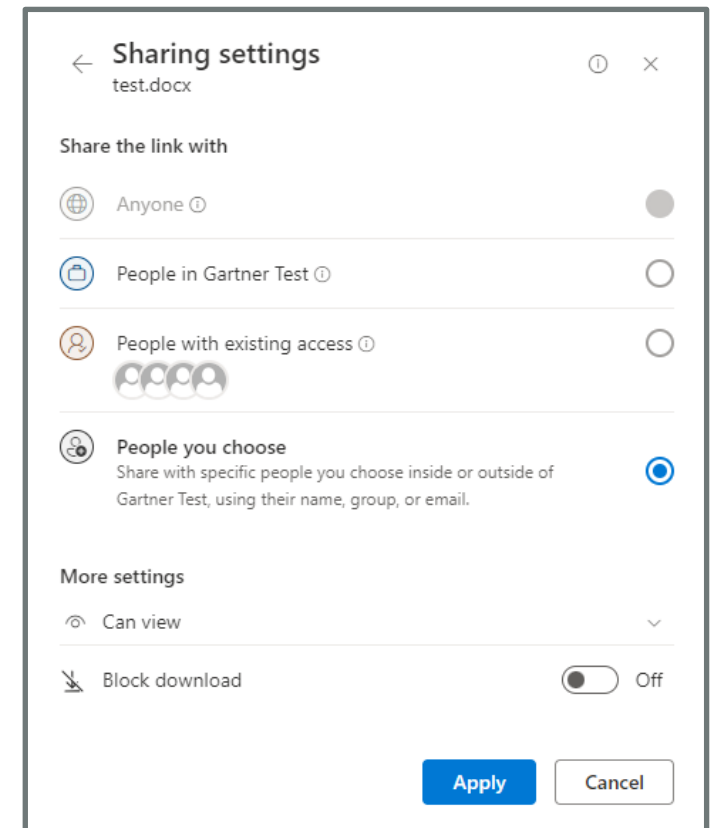
Develop a Culture of Security and Privacy Best Practice

Design Mandatory Training and Collaboration Best Practice

Most organizations have mandatory cyber training, but most **do not consider mandatory sharing training ...**

Collaboration best practices:

- Share with named individuals and groups.
- Minimize use of all company and anyone links.
- Collaborate in spaces where the permissions are already set (like a group or a team).
- Avoid sending copies of files over email.



Recommendations

- ✓ Build a multidisciplinary team (identity, security, compliance, business) to understand, manage and govern external sharing requirements.
- ✓ Evaluate limitations and gaps in Microsoft 365 and consider if additional external-sharing solutions are required to fill them.
- ✓ Agree which external-sharing options should be enabled or disabled and ensure decision makers understand how different user groups and personas will be impacted.
- ✓ Develop an external-sharing policy that combines proportionate guardrails with user education to provide a secure environment where users can successfully share with external parties.

Recommended Gartner Insights

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- 🔍 [Key Insights From the 2025 Microsoft 365 Copilot Survey](#)
Max Goss, Craig Roth and Others
- 🔍 [Guidance Framework for Managing External Sharing in Microsoft 365](#)
Max Goss and Chris Jackson
- 🔍 [How to Build a Microsoft 365 Copilot and Agents Strategy in 2026](#)
Max Goss, Matt Cain and Dan Wilson
- 🔍 [Agent 365: Microsoft’s First Step Toward Closing Its AI Governance Gaps](#)
Max Goss, Avivah Litan and Others